

Baupost Q42018 Letter, Discussed in Davos Summit, Jan 23, 2019

Civilization is hideously fragile . . . there's not much between us and the horrors underneath, just about a coat of varnish."

– Charles Percy Snow, British Novelist and Chemist

"All models are wrong, but some are useful."

– George E.P. Box, British Statistician

"To be absolutely certain about something, one must know everything or nothing about it."

–Henry Kissinger, Former U.S. Secretary of State

"But who shall dare to measure loss and gain in this wise? Defeat may be victory in disguise; The lowest ebb is the turn of the tide."

– "Loss and Gain," Henry Wadsworth Longfellow, American Poet

Dear Limited Partner,

The Baupost partnerships returned between roughly breakeven and a decline of less than one percent for the year ended December 31. A detailed report on our investment returns will be available on our website in early February together with a number of charts and tables displaying the largest individual position gains and losses, as well as year-end allocations to various asset classes and our 10 largest positions at December 31.

As we do every January, we offer this report to share our perspectives on the year just ended, including our observations on markets and on a range of economic, political, and societal developments that may impact investors and their capital. We also offer some thoughts about investor behavior and provide an update on the Baupost team.

This year's letter has been particularly challenging to write, because so much kept changing near the end of the year as we were putting our thoughts together. In 2016, we told you that year had been a tale of two markets, declines followed suddenly by gains. This year has likewise been such a tale, though in this case it was gains followed by an abrupt reversal. 2018 is a stark reminder that on Wall Street anything can happen, as investment profits were negated in a punishing final month.

While it is painful to have a reasonably successful year reversed in its last weeks, there are three bright spots that auger well for 2019 and beyond. First, we successfully protected capital in a very treacherous environment. Our event-driven holdings performed well, while our uncatalyzed public equities fluctuated more in line with the market. Our private investments posted a positive return, as did our hedging portfolio.

Second, our team generally performed excellent fundamental analysis all year. During the worst moments of the fourth-quarter market carnage, we were entering buy orders and our bids were getting hit. We were adding to positions which had become cheaper, and moving into attractively priced new investments. We are particularly energized to be making new investments when other investors have pulled back, competition is subdued, and prices are in near free-fall. As this was unfolding, we also reduced several positions that seemed less attractive than other opportunities that were emerging, and we redeployed those funds. And we were preparing the groundwork to be ready for situations that seemed like they could become dislocated in the future.

Third, we believe the year-end valuation of our portfolio is extremely attractive. At the end of December, many of our public equity holdings were trading at high single-digit or very low double-digit forward earnings multiples, an attractive level for companies generally expected to significantly increase their earnings and cash flows well into the future. Other holdings offer attractive returns to catalyzing events if they transpire as expected; these include announced mergers and restructurings that are progressing well and could result in relatively near-term monetizations. A number of our larger private (mostly real estate) holdings are also nearing fruition, where they may be partially or fully monetized through sales or refinancings.

Needless to say, we also made mistakes in 2018. For example, our original thesis on Colony Capital, a three-way merger of real estate and investment firms, was just plain wrong, though that stock, which we continue to hold, at year-end traded at more than a 9% dividend yield and at a considerable discount to NAV. We purchased a few stocks, including Pacific Gas and Electric and Univar, right before those shares slumped badly, in the first case on tragic developments that led to financial distress and in the second on cyclical fears that we believe ignore business fundamentals. We remain holders of both.

Last year once again demonstrated that markets can be confoundingly fickle. Wall Street's conditions and outlook

Last year once again demonstrated that markets can be confoundingly tricky. Well-known conditions and widely anticipated events, such as Federal Reserve rate hikes, ongoing trade disputes, and the unsettling behavior of an erratic president, were shrugged off by the financial markets one day and driving markets down the next. Is there a cumulative impact, where no one thing matters until the collective weight of them starts to? Is the market

simply myopic, whereby it ignores signs of trouble until they become more immediate and it can ignore them no longer? It's always hard to know why the market does what it does. That's part of the ever-interesting challenge we face in traversing the twists and turns of fluctuating prices and evolving fundamentals. On any given day, the sheer number of players, behaviors, economic factors, and business developments defy anyone's ability to fully grasp what is going on and why. That's why we develop and follow a game plan that does not purport to tell us what to do moment by moment, but rather is intended to help us successfully navigate the most challenging tumult. This is the essence of value investing.

At periods of maximum turbulence, stock and bond markets come to resemble commodities markets. Capital whips into stocks and out of bonds, or vice versa, as pension funds, mutual funds, hedge funds, algorithmic traders, and asset allocators rebalance their holdings. Our perpetual challenge in such markets is to rely on our acumen and analytical capabilities, while keeping our emotions under control and maintaining a long-term perspective.

2018 in Review

The major U.S. stock market indices steadily gained ground for the first three quarters of 2018, before plunging in a highly volatile fourth quarter. Early in the year, those who had bet that the market would remain on a steady uptrend were briefly caught flat-footed when volatility surged higher. The most jarring example was the near complete wipeout and sudden liquidation in February of the exchange-traded note XIV, a retail product used by many traders to short volatility. (The name XIV is the reverse of VIX, the common measure of market volatility.) Since its inception in late 2010, this instrument had appreciated 14-fold into early 2018, and then it was shockingly wound down within a month after it had lost 95% of its value. By mid-April, however, volatility abated and the stock market resumed its seemingly habitual march higher.

Generally rising share prices over the ensuing months more or less moved in tandem with higher corporate earnings, the result of massive fiscal stimulus, large corporate tax cuts, and historically low – albeit generally rising – interest rates. Cash continued to move into indexing strategies and out of the hands of active managers, with U.S. index fund holdings, after doubling from 2002 to 2009, nearly doubling again by 2018 (with important ramifications for market liquidity and corporate governance). Market pundits calculated that valuation multiples, with earnings assessed on a cyclically-adjusted basis, had reached the second-highest level ever (though reported

earnings were more in line with historical averages). The economic expansion, clocking in at nine-and-a-half years, neared the longest on record. As usual in a bull market, the warm feelings generated by rising prices had the effect of overcoming any sense of looming danger in the hearts and minds of most investors. And as in all bull markets, skeptics lost both credibility and assets to manage. Many investors had evidently adopted the usual dubious emergency plan: Get out when the market starts to fall. In August, the bull market became the longest on record – at nearly 3,500 days and counting. It felt like forever.

But in October, it was as though a trapdoor had opened under global equity markets. Widespread optimism instantly yielded to abject pessimism. Concerns arose that the Fed was increasing interest rates faster than conditions warranted, leading to growing fears of a U.S. economic slowdown or even downturn. Worries mounted as trade tensions with China escalated. As a result, stocks plunged indiscriminately – on some days, resembling a post-Thanksgiving sale with storewide markdowns. We did what we usually do amidst market turmoil, which is to re-check our analysis, prioritize our opportunities, and buy.

In the fourth quarter, the market increasingly looked like what our retired Partner Brian Spector once referred to as a “tide market.” When the tide goes out, it takes everything with it, and an investor must adjust in real time to the rapidly changing prices while considering the possibility of a deterioration in fundamentals. Sometimes, prices decline unrelated to those fundamentals. But at other times, they are anticipatory of fundamental erosion and can even be reflexively linked: lower share prices can adversely impact the economy in a sort of “reverse wealth effect;” investors feel poorer when the value of their portfolio falls, so they consume less. In addition, corporate management may view the share price decline as a potential increase in their cost of equity capital, causing them to delay capital expenditures or expansion plans, again reflexively weakening the broader economy. Yet as the market sold off this fall, there were mixed indicators as to whether the U.S. economy was actually cooling. “Hard data,” such as holiday retail sales (November 1 – December 24), posted a very healthy 5% increase over the year before, even as “soft” survey and sentiment data such as consumer confidence fell from the October highs.

Waves of selling swamped equity markets in the fourth quarter, as volatility surged. While in 2017 the U.S. equity market did not experience a single daily fluctuation up or down of as much as 3%, in 2018 there were 15 such days, 10 in the fourth quarter alone. The Wall Street Journal reported that by mid-November a record share of all investible assets – 90% – had posted losses on a year-to-date basis, as stock, bonds, and commodities all retreated. As news emerged of Iran sanction waivers, U.S. oil prices abruptly plunged 27% in six weeks (from \$76 per barrel to less than \$56 per barrel), with that commodity at one point declining a record 12 consecutive sessions in a row. The equity market plunge accelerated in December, resulting in the worst final month for the major indices since 1931. (At one point the S&P 500 had fallen 15% for the month alone.) Overall, the S&P 500 declined 4% on the year (inclusive of reinvested dividends). The NASDAQ officially entered bear market territory, down over 20%

from the highs, while the S&P 500 and Dow came ever so close to bear market status before rallying. The small cap Russell 2000 index ended the year down 11%, after falling more than 20% from its August 31 record high. As equities plunged, U.S. government bonds rallied significantly, with the yield on the U.S. 10-year note declining from 3.24% on November 8 to 2.68% on December 31.

Equity market weakness extended well beyond the U.S. in 2018. The major European indices posted declines ranging from 8% to 18%. Equities in Korea, Mexico, China, and Turkey all posted 2018 losses of 15% or more in local currency terms. Cryptocurrencies quietly but definitively completed their year-long collapse, with Bitcoin ending 2018 down more than 70%. Low-yielding cash was one of the few asset classes that gained ground in 2018. The challenging conditions and sudden carnage took a toll on Wall Street. No one was immune: mutual

funds, hedge funds, and quant funds all suffered, and several prominent investment firms made the decision to shut their doors in the fourth quarter after decades in business.

For the first time in years, technology behemoths – the so-called FAANG stocks – came under a cloud and their share prices experienced significant declines. Apple's smartphone sales fell short of the level expected by investors, and its shares fell 38% from their highs. Large segments of the mobile phone supply chain dropped sharply on fears of slumping demand and trade tensions. Meanwhile, Facebook stock slumped as the company disclosed that it would have to spend substantial amounts to address mounting privacy concerns, costing the company significant credibility with investors as well as legislators. Amazon and Netflix shares ended the year down 26% and 36%, respectively, from their highs set earlier in 2018.

The most over-extended asset class in 2018 may well have been private equity. With public equity markets expensive and yield still scarce, many investors have lately concluded that private equity is the one place where double-digit returns may be achievable. Private equity fundraising has set records, with estimates of more than a trillion dollars in capital available to be put to work. The multiples of leverage extended in private equity transactions is approaching previous peaks, as are valuations of such transactions, while the laxity of financing terms is unprecedented. Private equity investors have had the wind at their backs for a decade, the result of a steadily growing economy and sustained low interest rates, conditions that will almost certainly not prevail forever.

In 2018, the Federal Reserve raised interest rates four times as it sought to get to the “neutral rate,” but late in the year it signaled it would slow the pace of rate hikes in 2019. The Fed continued the process of reducing its bloated \$4.5 trillion balance sheet. In Europe, interest rates remain at historically low levels, with over \$4.7 trillion of sovereigns still offering negative rates as of year-end. but the European Central Bank announced the

completion of its almost four- year long program of net asset purchases in December. Even though everyone knew it was coming, the end of low rate policies and planned reduction of central bank balance sheets is far from a riskless endeavor, since these policies are unprecedented in scale, and such an unwind has never before been attempted. There should be concern about symmetry: If lowering interest rates coupled with central bank asset purchases stimulated economic expansion and a bull market in stocks and bonds, will raising rates drive a reversal? If the market's reaction to the Fed's December rate hike is any indication, the path to normalization of interest rates and of central bank balance sheets is going to be rocky indeed.

There are also concerns that the lengthy 36-year bond bull market is nearing its end. At one point last year, rates on U.S. Treasury 10-year bonds had more than doubled from their 2016 lows. Given the length of the bond buying spree, many of today's market participants have never experienced a bear market in bonds. The riskiness of their exposures may surprise them. And because marketplace conditions have evolved greatly over the last three decades, when we do eventually enter a fixed income bear market, neither historical correlations nor prior experience are likely to provide much guidance for how to successfully navigate this treacherous terrain.